

SCREENING DECLINE MEMORANDUM

To: Investment Committee, Lunar Investments
From: Screening Desk
Subject: Aqar Development (private): screening outcome, declined
Date: 9 September 2025
Reference: LI-IC-SCR-2025-014
Classification: Internal, IC records

1. Opportunity summary

Aqar Development is a privately held Saudi real estate developer active in residential and mixed-use projects in Riyadh and the Eastern Province. The opportunity reached Lunar as an inbound introduction in August 2025. The company sought growth capital of SAR 38 million in a Series B round to fund land acquisition and the delivery of two announced residential phases. No data room was requested or opened; the materials reviewed were limited to the introducer's summary deck and the company's public project announcements.

2. Screening determination: declined

The opportunity was screened against the Investment Mandate in the Lunar IC Charter (sector, ticket size, and stage tests, Charter p.3). The determination is set out below.

Mandate test	Charter requirement	Aqar Development	Result
Sector	Technology & Consumer	Real estate development	Fail
Ticket size	SAR 20-60M per deal	SAR 38M sought	Within band (moot)
Stage	Series A to Series C	Series B	Within window (moot)

The sector test is dispositive. Real estate development falls outside the Technology & Consumer sector mandate, and under the Charter a sector failure ends the screening process. Accordingly, no valuation work, financial analysis, quantified risk assessment, or compliance screen was performed, and none should be inferred from this memorandum. The ticket-size and stage observations above are recorded for completeness only.

3. Basis of the determination

The Investment Mandate confines new private growth-equity commitments to the Technology & Consumer sectors as defined in the Charter (p.3). The mandate definition is a standing instruction from the Committee to the screening and analysis functions; it is not a scoring input that individual opportunities can outweigh. The screening desk verified with the introducer that the company's revenue derives from property development and sales, with no material technology or consumer-platform component that could bring the business within the mandate definition.

4. Re-evaluation provision

This decline is a mandate determination. It is not a view on the quality of Aqar Development, its management, or the outlook for the Saudi real estate sector, and it does not carry a valuation opinion of any kind. The determination can change only if the Committee amends the sector mandate in the Charter by formal resolution. Market or macroeconomic developments, however favorable to the sector, do not override the sector test and are not grounds for re-screening while the current mandate stands. If the mandate is amended, any renewed interest in the company would enter the standard process from the beginning: screening, then analysis, then Committee review.

5. Record and communication

The outcome was communicated to the introducer on 11 September 2025 with the standard courtesy note. The pipeline record is retained as: declined at screening, outside sector mandate. This memorandum is filed to the Committee's records and forms the authoritative account of the decision.

Prepared by the Screening Desk for the Investment Committee of Lunar Investments. This document is fictional demonstration material created for the Faheem product demo.